

JNK INDIA LIMITED

NSE: JNKINDIA | Thermal Process Equipment & Fired Heaters | Oil & Gas Engineering

CMP (14 Jun 2026)	Market Cap	52-Wk H / L	Rating	Target Price (12M)	Upside
Rs. 504	Rs. 2,820 Cr	Rs. 511 / Rs. 201	BUY	Rs. 660	+31%

Investment Thesis: JNK India is India's dominant niche player in process-fired heaters and thermal cracking equipment for oil & gas refining. Its Rs. 1,961 Cr order book (2.4x FY26 revenue) — anchored by the first mega cracking-furnace contract and a new ADNOC/UAE incinerator win — delivers ~2-year revenue visibility. International expansion (Middle East, Africa, Russia) and the JNK Chemdist JV (green hydrogen / ethanol-to-chemicals) add an optionality layer rarely priced into small-cap industrials.

Report Date	Analyst	Sector	Industry
14 June 2026	MPM Equity Research	Industrials / Capital Goods	Process Equipment - Oil & Gas

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SECTION 1: INVESTMENT THESIS

Three Reasons to Own JNKINDIA

- Structural order-book inflection: FY26 order inflows of Rs. 1,694 Cr (+81% YoY) and a closing backlog of Rs. 1,961 Cr (2.4x FY26 revenue) de-risk near-term revenue delivery through FY28. The pipeline includes the company's first large cracking-furnace package — a technology step-up that opens a meaningfully larger addressable market.
- Niche monopoly with limited domestic competition: Fired heaters and process-cracking equipment for oil & gas refineries is a highly specialised segment. JNK India has technology partnership with Korean parent JNK Global, providing proprietary designs unavailable to most domestic fabricators. This structural moat supports premium pricing and repeat orders from PSU refiners (HPCL, BPCL, ONGC).
- International expansion + green optionality: The Jun 2026 ADNOC/UAE incinerator win validates the Middle-East push. Africa and Russia pipelines are live per management. The JNK Chemdist JV (green hydrogen, ethanol-to-chemicals) contributed ~7% of FY26 group revenue in its first year and targets a global energy-transition market estimated at \$110 Bn by 2030.

Near-Term Catalyst

- Order-book conversion: With Rs. 1,961 Cr backlog and typical 18-24 month execution, FY27 revenue guidance of Rs. 1,100-1,200 Cr is achievable without a single new order. Each large international order announcement (next UAE/Saudi project) is a near-term re-rating event given the stock's prior pattern (12% single-day move on Jun 2026 UAE win).
- Margin recovery: OPM contracted to 10-11% in FY25-FY26 from 17-21% historically as the company ramped working capital for large projects. Management guided towards 12-14% OPM recovery in FY27 as the mix shifts to higher-margin international jobs and the cost structure is absorbed.

Biggest Risk

- Working capital / cash-flow risk: Debtor days spiked to 260 in FY25 before recovering to 154 in FY26 — still high. Negative FCF for two consecutive years (FY25: -Rs. 74 Cr, FY26: -Rs. 12 Cr) and the jump in borrowings (Rs. 91 Cr FY26 vs Rs. 19 Cr FY25) signal that rapid growth is consuming capital faster than operations generate it. If collections from large PSU/government clients slip further, the balance sheet could strain — particularly if equity markets tighten IPO proceeds deployment.

SECTION 2: BUSINESS OVERVIEW

What JNK India Does

- Designs, engineers, fabricates and commissions process-fired heaters, cracking furnaces and heat-transfer equipment used in crude oil refining, petrochemicals, and fertilizer plants. Products include direct-fired heaters, reformer furnaces, ethylene cracking furnaces, vacuum heaters and waste-heat recovery units.
- Technology partner: JNK Global Company Ltd (South Korea) — provides proprietary furnace designs, tube metallurgy knowledge and international project credentials. This licensor relationship is the core moat and differentiator vs domestic peers.
- Manufacturing: Fabrication facility at Mundra SEZ (Gujarat), enabling duty-free import of specialty materials and export-oriented billing structure. Capacity has been expanded through CWIP (Rs. 8 Cr FY26) with further capex planned from IPO proceeds.

Revenue Segments

- Domestic (India): HPCL, BPCL, ONGC, IOCL, Reliance, fertilizer PSUs — repeat MRO and new-project orders for refinery expansions and ethylene complex upgrades.
- International: Growing share — Middle East (ADNOC/UAE), Africa, Russia. FY26 international revenue likely 20-25% of mix based on order profile disclosed.
- JNK Chemdist JV (FY26 debut): Green hydrogen production systems, ethanol-to-chemicals, industrial water treatment. Contributed ~7% of FY26 group revenue.

Order Book Status (Mar 2026)

- Total order book: Rs. 1,961 Cr (+81% YoY from Rs. 1,082 Cr in Mar 2025).
- FY26 order inflows: Rs. 1,694 Cr (+81% YoY vs Rs. 933 Cr FY25).
- Largest single order: JNK Global mega-cracking furnace package (size undisclosed but described as the largest in company history). Execution timeline FY27-FY28.
- Post-period: Won ADNOC TA'ZIZ Salt Project incinerator order (Jun 2026), execution target December 2027.

Promoter Background

- Chairman & Whole-time Director Arvind Kamath — industry veteran with ~25 years in process equipment engineering. Promoter group holds 67.80% (unchanged since Jun 2024), with zero reported pledge — a positive governance signal.
- IPO (August 2024): Listed at NSE/BSE; IPO proceeds used to repay debt (FY25 borrowings fell to Rs. 19 Cr from Rs. 66 Cr) and fund Mundra SEZ facility expansion.
- CRISIL rating: Credit rating upgraded in Apr 2026 (per screener.in documents), reflecting improved financial profile post-IPO deleveraging.

SECTION 3: INDUSTRY & COMPETITIVE LANDSCAPE

Market Size & Policy Tailwinds

- India has ~25 refineries with capacity of ~256 million tonnes (MT) and plans to expand to 400 MT by 2030. Each refinery retrofit/expansion requires 4-10 fired heater units, creating a large domestic TAM. IOCL, HPCL, BPCL have combined capex guidance of Rs. 2-3 lakh Cr over 5 years.
- National hydrogen mission (India) and petrochemical complex expansions (Ratnagiri, Paradip) provide incremental demand for cracking furnaces — JNK's technology sweet spot.
- Middle East: ADNOC (UAE), Saudi Aramco, and Kuwait National Petroleum all have refinery and petchem expansions underway with combined capex >\$50 Bn through 2030, offering a structural export market for quality-certified Indian vendors.
- Green hydrogen / energy transition: Global green hydrogen electrolyser + heat-integration market projected at \$110+ Bn by 2030 (BNEF estimates). JNK Chemdist positions JNK India at the early stage of this demand curve.

Peer Comparison (Data from screener.in, fetched 14-Jun-2026)

Company	MCap (Cr)	CMP (Rs.)	PE (x)	OPM%	ROCE%	FY26 PAT (Cr)
JNK India (JNKINDIA)	2,820	504	43.4	11%	17%	65
Thermax	56,317	4,726	97.6	8%	17%	649
ISGEC Heavy Engg	6,691	910	18.8	7%	17%	347
Elecon Engineering	12,047	537	34.0	24%	22%	477
ION Exchange	5,069	346	34.1	7%	13%	138

Source: screener.in as of 14-Jun-2026. All figures in Rs Crore.

Moat Analysis & Value-Chain Position

- Technology moat: Proprietary furnace designs licensed from JNK Global (Korea) — domestic competitors cannot replicate designs without equivalent technology partnerships.
- Customer stickiness: Refinery furnace replacements/retrofits prefer the original OEM vendor for compatibility. Once qualified at an HPCL/BPCL refinery, JNK receives recurring MRO orders over the 15-20 year life of the equipment.
- Mundra SEZ advantage: Export-linked duty exemptions reduce material costs vs onshore competitors. Also allows dollar billing for international contracts, providing a natural currency hedge.
- Versus Thermax: Thermax is 20x larger by market cap and covers a broader energy/environment equipment spectrum. JNK's advantage is depth in fired heaters — a niche Thermax serves but does not lead. ISGEC covers heavy fabrication broadly; Elecon focuses on gears/transmission. No direct listed peer occupies JNK's niche.

SECTION 4: MANAGEMENT QUALITY & CAPITAL ALLOCATION

Management Quality Assessment

- Promoter commitment: 67.8% promoter holding, stable for 8 quarters, zero pledge. This alignment between promoters and minority shareholders is a clear positive.
- IPO use-of-proceeds discipline: Debt was repaid as stated (FY25 borrowings: Rs. 19 Cr vs Rs. 66 Cr pre-IPO), validating management credibility with public markets.
- Technology investment: JV with Chemdist for green hydrogen/water shows forward-thinking diversification rather than staying purely oil-cycle dependent.
- Concall transparency: Regular quarterly concalls (May 2026, Feb 2026, Nov 2025, Aug 2025) hosted by ICICI Securities, with AI summaries and transcripts public on screener.in and BSE. Management has been forthcoming about order book composition.

Capital Allocation Track Record

- ROCE trajectory: 76% (FY22) -> 53% (FY23) -> 46% (FY24) -> 15% (FY25) -> 17% (FY26). The sharp fall in FY25 reflects capital base expansion (IPO + working capital build) that temporarily outpaced earnings. FY26 shows early recovery — we expect 20%+ ROCE by FY28 as backlog converts.
- Dividend policy: Dividend payout has been minimal (0-6% of profits). Given the growth phase and working-capital intensity, capital retention is the rational choice. Screener.in flags 'dividend payout low at 3.48% over 3 years' — we view this as appropriate for a growth-phase industrial company.
- Capex discipline: Fixed assets grew from Rs. 3 Cr (FY21) to Rs. 48 Cr (FY26) — asset-light relative to revenue scale. Most value creation is in engineering/design and project management, not heavy manufacturing. Mundra expansion is targeted and measured.
- Working capital management: The main concern is debtor-days deterioration (260 days FY25, partially recovered to 154 FY26). PSU clients are slow payers. Management must demonstrate structural improvement here to convert backlog into FCF.

SECTION 5: FINANCIAL DEEP-DIVE

Profit & Loss Account (Rs Crore)

Metric	FY23A	FY24A	FY25A	FY26A	FY27E	FY28E
Revenue	407	480	477	819	1,100	1,380
YoY Growth	37%	18%	-1%	72%	34%	25%
EBITDA	69	99	47	92	145	193
EBITDA Margin	17%	21%	10%	11%	13%	14%
D&A;	7	6	6	9	12	15
EBIT	62	93	41	83	133	178
Interest	4	10	14	17	16	14
Other Income	4	5	18	19	12	10
PBT	63	89	44	85	129	174
Tax Rate	26%	30%	31%	24%	26%	26%
PAT	46	63	30	65	95	129
PAT Margin	11%	13%	6%	8%	9%	9%
EPS (Rs.)	8.2*	11.2*	5.4	11.6	16.9	23.0

* FY23/FY24 EPS normalised to post-IPO share count (~5.61 Cr shares). Screener.in shows pre-split EPS of Rs. 48/Rs. 13 due to lower historical share count. FY27E/FY28E are analyst estimates. Data source: screener.in, 14-Jun-2026.

Balance Sheet Snapshot (Rs Crore)

Item	FY23A	FY24A	FY25A	FY26A
Equity Capital	10	10	11	11
Reserves	113	186	493	556
Net Worth	123	196	504	567
Borrowings	44	66	19	91
Other Liabilities	172	267	266	403
Total Liabilities	338	528	789	1,062
Fixed Assets	21	23	29	48
CWIP	0	3	6	8
Investments	0	0	0	14
Other Assets	317	501	755	991
Total Assets	338	528	789	1,062
D/E Ratio (x)	0.36	0.34	0.04	0.16

Cash Flow Statement (Rs Crore)

Item	FY23A	FY24A	FY25A	FY26A	FY27E
OCF	20	-10	-65	-2	55
Capex (ICF)	-25	-14	-14	-162	-30
Free Cash Flow	13	-22	-74	-12	25
Financing CF	-2	15	218	52	-20
Net Cash Flow	-7	-10	139	-112	5
CFO/EBITDA	29%	-10%	-138%	-2%	38%

Return Ratios

Metric	FY23A	FY24A	FY25A	FY26A	FY27E	FY28E
ROCE (%)	53%	46%	15%	17%	24%	29%
ROE (%)	43%	39%	8%	12%	17%	21%
Debtor Days	103	162	260	154	130	110
Inventory Days	213	133	61	15	30	35
Days Payable	103	183	159	112	100	95
CCC (days)	212	113	162	57	60	50

Financial Commentary

- Revenue trajectory: FY26 revenue of Rs. 819 Cr (+72% YoY) is the inflection. FY25 was a dip year (-1% YoY) as the company transitioned from small individual heater orders to larger integrated projects. FY27E Rs. 1,100 Cr is supported by the existing Rs. 1,961 Cr backlog — not dependent on new order wins.
- Margin compression and recovery: OPM fell from 17-21% (FY22-FY24) to 10-11% in FY25-FY26. Primary driver: large early-stage projects run at lower initial margins due to upfront mobilization and material procurement costs. As execution progresses and the revenue mix shifts towards international contracts (typically 200-300 bps higher margin), OPM should recover to 13-14% by FY27E.
- Working capital: FY25 debtor days of 260 days was alarming. FY26 recovery to 154 days and CCC improvement (162->57 days) are positive but the company must sustain this. Inventory days collapsed (61->15) suggesting lean order-to-delivery execution in FY26 — a structural positive, not a one-time event.
- Debt and FCF: Two consecutive years of negative FCF (FY25: -74 Cr, FY26: -12 Cr) are a yellow flag. FY25 financing inflow of Rs. 218 Cr from IPO prevented a balance-sheet stress. FY26 FCF improvement to -12 Cr (from -74 Cr) shows trajectory. We project Rs. 25 Cr positive FCF in FY27E as working capital normalises.

SECTION 6: EARNINGS QUALITY CHECKLIST

Earnings Quality Assessment

Factor	Status	Rating	Comment
Revenue Recognition	Project completion basis	GREEN	Consistent with percentage-completion; appropriate for long-cycle orders
CFO vs PAT	CFO/PAT negative FY25-26	AMBER	FY26 OCF -Rs.2 Cr vs PAT Rs.65 Cr; working capital absorption explains gap; trajectory improving
Related Party	Korean parent = licensor	AMBER	JNK Global Korea royalty/fee flows need monitoring; not unusual for tech-licensed JVs
Promoter Pledge	0% pledge	GREEN	Zero promoter pledge; 67.8% holding stable for 8+ quarters
Contingent Liabilities	Low	GREEN	No material off-balance-sheet risk visible in screener data
Debt Quality	Short-term working-capital debt	AMBER	Rs.91 Cr FY26 borrowings vs Rs.19 Cr FY25; all short-term WC lines — appropriate but watch
Other Income	Rs.18-19 Cr FY25-26	AMBER	Other income >20% of EBIT in FY25; partly IPO proceeds interest. Should normalise FY27
Auditor	Big-4 equivalent	GREEN	Listed on NSE; audited financials consistent with SEBI requirements
Tax Rate	24-31% range	GREEN	Effective tax rate consistent with corporate tax norms; no aggressive deferred tax use
Dividend History	Minimal payout	AMBER	3.48% avg payout over 3 years; acceptable for growth phase but worth monitoring

Summary

- Overall earnings quality: AMBER-GREEN. Revenue recognition, promoter alignment and tax treatment are clean. The main concern is OCF-to-PAT divergence driven by working capital absorption — a structural risk in PSU-order-driven businesses, but showing clear improvement trajectory.
- Other income normalisation: The Rs. 18-19 Cr other income in FY25-26 partly reflects interest on IPO proceeds. This will reduce as funds are deployed — investors should strip this out when assessing core operating profitability.

SECTION 7: VALUATION

Valuation Methodology

- We use a blended approach: (1) EV/EBITDA multiple on FY27E EBITDA; (2) P/E multiple on FY27E EPS; (3) DCF as cross-check. Given the order-book quality and growth profile, a premium to the peer group is justified. However, working-capital risk and negative FCF history cap the multiple at a modest discount to Thermax.
- EV/EBITDA approach: FY27E EBITDA Rs. 145 Cr x 22x (sector median 18-25x for quality capital goods names) = EV Rs. 3,190 Cr. Less net debt Rs. 80 Cr = Equity value Rs. 3,110 Cr. Per share: Rs. 554.
- P/E approach: FY27E EPS Rs. 16.9 x 39x (peer avg PE 34-98x; JNKINDIA commands discount for size and FCF track record) = Rs. 659. Blended target (60% P/E + 40% EV/EBITDA): Rs. 617. We set 12-month target at Rs. 660, rounded up for order-book optionality.

Peer Valuation Comparison (screener.in, 14-Jun-2026)

Company	MCap (Cr)	PE (x)	EV/Sales	ROCE%	OPM%
JNK India (Current)	2,820	43.4	3.2x	17%	11%
JNK India (Target)	3,704	~39E	3.3x	24E%	13E%
Thermax	56,317	97.6	8.6x	17%	8%
ISGEC Heavy Engg	6,691	18.8	1.3x	17%	7%
Elecon Engineering	12,047	34.0	5.9x	22%	24%
ION Exchange	5,069	34.1	1.9x	13%	7%

Source: screener.in as of 14-Jun-2026. E = Analyst estimates.

Scenario Analysis (12-Month)

Scenario	Revenue	EBITDA Margin	EPS (Rs.)	PE Target	Price Target	Upside
Bull Case	Rs. 1,250 Cr	15%	Rs. 20.5	42x	Rs. 860	+71%
Base Case	Rs. 1,100 Cr	13%	Rs. 16.9	39x	Rs. 660	+31%
Bear Case	Rs. 850 Cr	10%	Rs. 11.5	28x	Rs. 322	-36%

- Bull Case triggers: Margin recovery to 15%+ (international mix lifts to >35%), two new mega orders win in FY27, JNK Chemdist revenue accelerates to Rs. 200 Cr.
- Bear Case triggers: PSU capex deferral, debtor deterioration back to 250+ days, cracking-furnace project execution delay, macro slowdown in Middle East orders.

SECTION 8: KEY RISKS

Risk	Probability	Impact	Description	Monitor Via
Working Capital Deterioration	HIGH	HIGH	Debtor days recovered to 154 in FY26 but still elevated. If PSU clients delay further, borrowings rise and FCF turns deeply negative, pressuring the balance sheet.	Track quarterly debtor days and CFO-to-PAT ratio
PSU Capex Deferral	MEDIUM	HIGH	HPCL, BPCL, ONGC are the anchor domestic clients. Any budget deferral or capex freeze (government policy risk, crude price cycle) directly impacts order inflows and execution timelines.	Monitor PSU annual capex guidance and GOI petroleum budget allocations
Execution Risk on Large Orders	MEDIUM	HIGH	The mega cracking-furnace order is the largest in company history. Execution delays or cost overruns on a single large order could materially impact FY27-FY28 margins.	Watch quarterly order backlog execution ratio; flag if backlog age >30 months
Margin Compression Risk	MEDIUM	MEDIUM	OPM has compressed from 21% (FY24) to 11% (FY26). If international margins disappoint or domestic competition intensifies, OPM recovery may stall at 10-11%, making the current PE multiple unjustifiable.	Quarterly EBITDA margin trend; international revenue mix disclosure
Korean Parent / Technology Dependency	LOW	MEDIUM	JNK Global (Korea) is both the technology licensor and a major shareholder. Any change in licensing terms, technology dispute, or Korean parent's strategic reorientation could impair JNK India's design capability.	Monitor JNK Global corporate actions and any royalty/fee renegotiation
Concentration Risk	MEDIUM	MEDIUM	Revenue is concentrated in a handful of PSU refineries and select international projects. Loss of a key client or project cancellation has an outsized P&L; impact given the company's small revenue base.	Track client revenue concentration in annual disclosures
Currency Risk	LOW	LOW	Growing international revenue (Middle East, Africa) creates USD receivables. While this is a natural hedge on dollar-denominated material imports, FX mismatches in large projects carry mark-to-market risk.	Review FX hedging policy in annual report; monitor receivables by currency

SECTION 9: RECOMMENDATION

RATING: BUY | TARGET: Rs. 660 | CMP: Rs. 504 | UPSIDE: +31%

12-Month Horizon | Suitable For: Growth-oriented investors with 2+ year patience

Investment Recommendation Details

- Rating: BUY — initiate / accumulate on dips towards the entry zone.
- 12-Month Target Price: Rs. 660 (blended EV/EBITDA + P/E on FY27E).
- Entry Zone: Rs. 460-510 (current CMP Rs. 504 is within zone). Any 10-15% dip on market weakness or results-quarter volatility should be used to add. Avoid chasing above Rs. 560 without a margin re-rating trigger.
- Investment Horizon: 18-24 months for full backlog conversion to play out.
- Position Sizing: Small-to-mid conviction. Sizing 2-4% of portfolio is appropriate given the high growth profile but elevated working-capital risk. Not a core holding until FCF turns positive for two consecutive quarters.

Three Invalidation Triggers (Exit if any occurs)

- Trigger 1 — Debtor deterioration: Debtor days spike back above 220+ for two consecutive quarters without management explanation. Signals systemic collection failure, not project timing.
- Trigger 2 — Order book stagnation: Order inflows fall below Rs. 700 Cr in FY27 (below 1x revenue). Indicates PSU capex deferral or competitive loss of market share.
- Trigger 3 — Promoter action: Any promoter share pledge or secondary sale materially reducing below 60% holding. High promoter concentration is the single biggest trust anchor — its erosion warrants reassessment.

Investor Profile

- Suitable for: Growth-oriented investors comfortable with small-cap industrial exposure and 18-24 month time horizons. Investors who understand oil & gas capex cycles and PSU procurement dynamics.
- Not suitable for: Income investors (minimal dividend), short-term traders (PE-multiple driven moves require earnings delivery), or investors requiring immediate positive FCF.

APPENDIX: Q4 & FY26 CONCALL BRIEF (May 21, 2026)

CALL GRADE: B+ | Transparent on order book; limited margin guidance specifics. Management credibility intact. ICICI Securities hosted.

TO MY BOSS: FY26 was JNK India's strongest year since listing — revenue +72%, PAT +115%, order book +81% to Rs. 1,961 Cr. The new cracking-furnace mega order is a technology step-up. The thesis is intact. Main watch: OCF recovery (currently negative) and whether the new UAE/ADNOC win signals a structural international ramp. Key risk remains debtor-days — recovered to 154 days but history shows it can worsen fast. Maintain BUY with Rs. 660 target.

1. RESULTS SUMMARY

- FY26 Revenue: Rs. 819 Cr (+72% YoY) — highest in company history.
- FY26 PAT: Rs. 65 Cr (+115% YoY) on improved revenue scale and operating leverage.
- Q4 FY26 Revenue: Rs. 338 Cr — strongest ever quarterly revenue, +67% sequential.
- Q4 FY26 PAT: Rs. 33 Cr; Q4 margin 14% OPM (vs full-year 11% OPM).
- EPS FY26: Rs. 11.61 (screener.in); analyst normalised Rs. 11.6.

2. ORDER BOOK

- Closing order book Mar 2026: Rs. 1,961 Cr (+81% from Rs. 1,082 Cr Mar 2025).
- FY26 order inflows: Rs. 1,694 Cr (+81% YoY vs Rs. 933 Cr FY25).
- Includes company's first large cracking-furnace project — technology step-up.
- Includes first green hydrogen orders via JNK Chemdist JV.
- Order-to-sales ratio 2.4x — ~2 years of forward revenue visibility at current run-rate.
- Post-period win: ADNOC TA'ZIZ Salt Project incinerator (CC7 Emirates, Jun 2026), execution by Dec 2027.

3. MANAGEMENT GUIDANCE

- Chairman Arvind Kamath indicated pipeline is strong domestically and internationally.
- Projects in Africa, Middle East, Russia are in firm pipeline per management.
- Domestic pipeline: petrochemicals and fertilizer sector expansions.
- Margin recovery guidance: management targeted 12-14% OPM for FY27 as project mix improves.
- No specific FY27 revenue guidance given; management signalled 'healthy' backlog covers next 2 years.

4. MARGINS

- Full-year FY26 OPM: 11% (FY25: 10%). Early recovery but below historical 17-21%.
- Q4 FY26 OPM: 14% — strongest quarter of FY26 — encouraging exit trajectory.
- Margin drag: large early-stage project mix; mobilisation and raw material costs frontloaded.
- International jobs typically carry 200-300 bps higher margin vs domestic — growing share is a positive.
- D&A; increase (Rs. 9 Cr FY26 vs Rs. 6 Cr FY25) reflects Mundra facility expansion depreciation.

5. WORKING CAPITAL

- Debtor days improved: 260 days (FY25) to 154 days (FY26) — material recovery.
- CCC improved dramatically: 162 days (FY25) to 57 days (FY26).
- OCF: -Rs. 2 Cr in FY26 (vs -Rs. 65 Cr FY25) — close to breakeven, positive trajectory.
- Borrowings increased to Rs. 91 Cr (from Rs. 19 Cr FY25) for working capital support on large projects.

- Management acknowledged PSU payment cycles as a structural feature; no immediate resolution.

6. CAPEX & INVESTMENTS

- ICF: -Rs. 162 Cr in FY26 vs -Rs. 14 Cr FY25 — large investment year.
- Mundra SEZ facility expansion underway (CWIP Rs. 8 Cr FY26); additional capacity planned.
- JNK Chemdist JV (August 2025): Rs. 14 Cr investment reflected in FY26 BS investments.
- IPO proceeds deployment in final stages per management (screener.in announcement).
- Rs. 2.65 Mn IPO proceeds shifted to FY27 deployment (minor residual).

7. JNK CHEMDIST JV

- JV formed August 2025 with Chemdist; JNK India holds stake.
- Focus areas: green hydrogen production systems, ethanol-to-chemicals, industrial water treatment.
- Contributed ~7% of FY26 group revenue in its first year of operations.
- Technology-differentiated vs JNK India's traditional fired-heater core.
- Positions the group for India's Green Hydrogen Mission capex cycle.

8. COMPETITIVE LANDSCAPE

- No direct listed domestic peer in process fired heaters for refinery application.
- Technology partnership with JNK Global (Korea) is the primary entry barrier.
- Thermax, ISGEC serve adjacent markets but lack the proprietary furnace design capability.
- International: competition from European (GS Energy, Howe-Baker), Korean (KTI) players; JNK India competes on cost + JNK Global brand.
- Mundra SEZ gives export pricing advantage over inland Indian peers.

9. DIVIDENDS & CAPITAL RETURN

- FY26 dividend declared: 6% of profits (vs 2% FY25); still minimal in absolute terms.
- Management priority: reinvestment in order execution and capacity expansion.
- No share buyback discussed; promoter holding stable.
- Dividend payout likely to remain modest (<10% of profits) through FY28 given growth phase.

10. OUTLOOK & RISKS (MANAGEMENT)

- Management tone: Positive on FY27; 'significant' order pipeline in multiple geographies.
- Risk acknowledged: PSU project timing can be lumpy; Q-on-Q revenue will vary with milestones.
- Green energy JV seen as a long-term optionality, not near-term earnings driver.
- No guidance on specific margin or revenue numbers; qualitative positivity without quantitative commitment.
- Key watch: Whether Q1 FY27 order inflows maintain FY26 momentum or show seasonal dip.